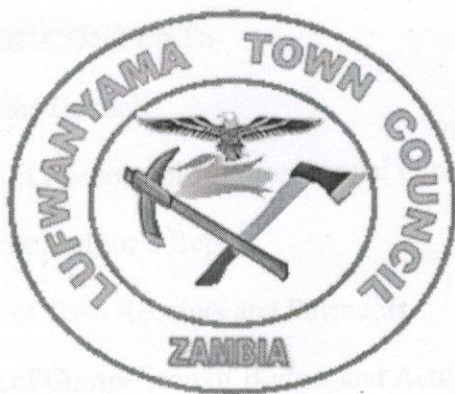




LUFWANYAMA TOWN COUNCIL

FINANCIAL STATEMENTS
AS AT 31ST DECEMBER 2021

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2021 which disclose the sources, utilization and balances of cash for Lufwanyama Town Council during the period under review.

Background and Location of the Council

Lufwanyama District is on the Copperbelt Province of Zambia sharing borders with eight (8) other districts being, Kalulushi, Kitwe, Masaiti, Mpongwe, Luanshya, Kasempa, Chingola and Solwezi. The district provides a direct connection to towns in the North-Western Province including Kasempa, Kabompo, Zambezi and Chavuma through the Kalengwa-M18 road. The major source of income of the local people is mainly from small scale farming, fishing and mining.

Lufwanyama is found in the western part of the Copperbelt Province. It lies between latitudes 13 °44' and 12°20' south of the Equator. Longitudinally, it lies between 26°10' East.

The administrative centre lies in the protected forest area of the Lamba Headwaters Block-A, along the Kalengwa-M18 road, 580 Kilometre (Km) from Lusaka, the capital city of Zambia, 137 Kilometre (Km) from Ndola, the Provincial Headquarter, 65 Kilometre (Km) west of Kitwe, 55 Kilometre (Km) west of Kalulushi and 2 Kilometre (Km) east of the Lufwanyama River Bridge.

Lufwanyama is the largest districts on the Copperbelt Province, covering an area of 7880 Square Kilometre (Km) of the provincial total area of 31,328 Kilometre (Km). It accounts for 31.4 percent of the provincial landmass.

The District has three (3) main rivers namely the Luswishi, Katembula and Lufwanyama rivers, which are tributaries of the Kafue river, which forms the boundary between Lufwanyama and the eastern and south-eastern district in the province. These rivers receive water from the numerous perennial streams which form an extensive network of rich water resources the district is endowed with. These include the Kabundia, Sokontwe, Luela, Kansoka, Lumwana, Mubende, Mitwe, Chapula, Kasho, Kafubu and Funda.

The address of the registered office of Lufwanyama Town Council (LTC) is as follows:

The Civic Centre

Kalengwa Road

P O Box 260500

Lufwanyama

REPORT OF THE COUNCIL

Composition of the Council

Lufwanyama Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No.2 of 2019. As a Local Authority, the Town Council administers the Lufwanyama District.

The Council is composed of an elected Council Chairperson, twenty (20) elected councillors from twenty (20) wards, and three (3) chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Chairperson was elected from among the councillors in 2021 for the period of two and half years.

The Councillors who held office during the year up to August 2021 were:

S/N	NAME	GENDER	POSITION	WARD
1	Moses C. Chiyuka	Male	Council Chairperson	Not applicable
2	Zolile Zimba	Male	Deputy Council Chairperson	Mibenge
3	Robert Katongo	Male	Councillor	Chantete
4	Rodgers Simweemba	Male	Councillor	Lufwanyama
5	Fredrick Mubanga	Male	Councillor	Luswishi
6	Malupenga Chiyan'a	Male	Councillor	Mukumbo
7	Kangwa E Mwila	Male	Councillor	Chibanga
8	Marvis Chisembele	Female	Councillor	Milopa
9	Claudias Dube	Male	Councillor	Kabundia
10	Annie Kapandula	Female	Councillor	Kansoka
11	Ignitius Musonda	Male	Councillor	Mushingashi
12	Lwipa Lubele	Male	Councillor	Kafubu
13	Benson Sondashi	Male	Councillor	Mwelushi
14	Davies Sumaili	Male	Councillor	Sokontwe
15	Phanuel Musumali	Male	Councillor	Kasanta
16	Diana Katupisha	Female	Councillor	Bulaya
17	Chola Kasanda	Male	Councillor	Mpindi
18	Chieftainess Yani Mabenga	Female	Member	Chiefdom Shimukunami
19	Chief Brown Kaswende	Male	Member	Chiefdom Fungulwe
20	Chief Cephas Lumanto	Male	Member	Chiefdom Lumpuma

REPORT OF THE COUNCIL

The District also had one (1) elected Member of Parliament who held office during the year up to August 2021 was:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Leonard Fungulwe	Male	Lufwanyama

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Dorothy Chipimpi was the District Commissioner for Lufwanyama District.

The councillors who held office after August 2021 were:

S/N	NAME	GENDER	POSITION	WARD
1	Annie Kapandula	Female	Council Chairperson	Not applicable
2	Mwashi Matela	Male	Deputy Council Chair	Mushingashi
3	Renox Kaseka	Male	Councillor	Sokontwe
4	Patson Sikwimba	Male	Councillor	Kabundia
5	Graham Sawalonga	Male	Councillor	Luswishi
6	Zolile Zimba	Male	Councillor	Mibenge
7	Lungebe Nickson	Male	Councillor	Mwelushi
8	Chooye Himaluwani	Male	Councillor	Lwabufubu
9	Chola Damson	Male	Councillor	Kafubu
10	Gilbert Mukombola	Male	Councillor	Chinemu
11	Katiki Angel	Male	Councillor	Milopa
12	Mukinina Stephen	Male	Councillor	Kansanta
13	Lee Mukazo	Male	Councillor	Kansonka
14	Mushikita Earnest	Male	Councillor	Mukumbo
15	Choosa Derrick	Male	Councillor	Bulaya
16	Moses Kazeka	Male	Councillor	Chantete
17	Edward Kapandula	Male	Councillor	Katembula
18	Soul Kapepa	Male	Councillor	Lufwanyama
19	Chola Kanda	Male	Councillor	Mpindi
20	Martin Mulambo	Male	Councillor	Mitwe
21	Chewe Kabanda	Female	Councillor	Chibanga
22	Rodson Mwale	Male	Chief	Mukutuma Chiefdom
23	Yani Mabenga	Female	Chieftainess	Shimukunami Chiefdom
24	Godfrey Shamanena	Male	Senior Chief	Nkana Chiefdom

REPORT OF THE COUNCIL

The District also had one (1) elected Member of Parliament who held office during the year after August 2021 was:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Siachisumo	Male	Lufwanyama

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Justine Mwalikwa was the District Commissioner for Lufwanyama District.

The Council Secretariat

The Secretariat of Lufwanyama Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) Directors responsible for Finance, Planning, Works, and Administration, and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2021 Kwacha	2020 Kwacha
Cash Receipts	23,111,309	21,461,349
Payments	22,106,373	16,021,227
Increase/(Decrease) in Cash and Cash Equivalents	1,004,936	5,440,122

Key Policies Adopted During the Year

The Council did not adopt any policy during the year

Related Party Transactions

There were no related party transactions during the financial year.

REPORT OF THE COUNCIL

Property, Plant and Equipment

The Council invested in property, plant and equipment amounting to **K5,911,412**

No property, plant and equipment were disposed of during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The average number of employees during the year was **105**. The total amount spent on employees' remuneration and welfare during the year was **K8,513,637**

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council did not incur any cost in relation to sponsoring various sporting activities

Corporate Social Responsibility

The Council made no donations during the year amounting to towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No.2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

A. Kapandula
.....

Annie Kapandula

Council Chairperson

..... 2023

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lufwanyama Town Council is responsible for preparing the financial statements for the year ended 31st December, 2021 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2020, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements and his report is shown on pages 8 to 10

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2018.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lufwanyama Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December 2021.

Signed on behalf of the Council:, 2023 by;

Name: ANNIE KAPANDULA Signature: A. Kapandula

Position: Council Chairperson

Name: LYNDA MAPARA

Signature: L. Mapara

Position: Council Secretary

Name: Busalya Machuta

Signature: B. Machuta

Position: Council Treasurer





**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

INDEPENDENT AUDITOR'S REPORT

**STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements of Lufwanyama Town Council

Opinion

I have audited the financial statements of the Lufwanyama Town Council for the financial year ended 31st December, 2021 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 14 to 43.

In my opinion, the accompanying financial statements of Lufwanyama Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2021 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Lufwanyama Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Emphasis of Matter

I draw attention to part 1.1 to the financial statements which describe the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act No. 2 of 2019.

My opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Council or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

[Handwritten signature]

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE
ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

DATE: *01/09/2023*

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED
31ST DECEMBER 2021:**

		2021 Kwacha	2020 Kwacha
RECEIPTS			
Local taxes	2	7,162,197	5,518,298
Fees and Charges	3	3,219,565	3,692,246
Licences	4	156,431	143,110
Levies	5	520,623	545,062
Permits	6	162,129	220,716
Local Government Equalisation	7	8,948,144	9,142,835
Lufwanyama CDF	8	1,616,181	1,607,866
Other Grants	9	1,087,640	450,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	238,399	149,082
TOTAL RECEIPTS		23,111,309	21,469,215
PAYMENTS			
Personal Emoluments	13	8,513,637	6,606,756
Use of goods and services	14	7,207,350	5,364,543
Financial Charges	15	-	-
Social benefits	16	-	-
Non-Financial asset acquisition	17	5,911,412	3,144,716
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	473,974	905,212
TOTAL PAYMENTS		22,106,373	16,021,227
Increase/(decrease) in Cash		1,004,936	5,447,988
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	5,728,107	280,119
Cash at the end of the year	22	6,733,043	5,728,107

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: ANNIE KAPANDULA Signature: A. Kapandula

Position: Council Chairperson

Name: LYNDA MAPARA

Signature: [Signature]

Position: Council Secretary

Name: Bisaha Machuta

Signature: [Signature]

Position: Council Treasurer



**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR
THE YEAR ENDED 31ST DECEMBER 2021**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	6,470,896	-	6,470,896	7,162,197	111%	691,301	11%
Fees and Charges	5,958,036	(1,109,554)	4,848,482	3,219,565	66%	(1,628,917)	-34%
Licences	141,060	-	141,060	156,431	111%	15,371	11%
Levies	493,686	-	493,686	520,623	105%	26,937	5%
Permits	219,650	-	219,650	162,129	74%	(57,521)	-26%
Local Government Equalisation	9,186,272	-	9,186,272	8,948,144	97%	(238,128)	-3%
Constituency Development Fund	1,600,000	-	1,600,000	1,600,000	100%	-	0%
Other Grants	-	842,750	842,750	1,087,640	129%	244,890	29%
Borrowings	-	-	-	-	-	-	-
Commercial Venture	-	-	-	-	-	-	-
Other Receipts	5,095	-	5,095	238,399	4679%	233,304	4579%
TOTAL RECEIPTS	24,074,695	(266,804)	23,807,891	23,095,128	97%	(712,763)	-3%
PAYMENTS							
Personnel Emoluments	8,327,161	-	8,327,161	8,513,637	102%	(186,476)	-2%
Use of goods and services	8,320,199	669,268	8,989,467	7,207,350	80%	1,782,117	20%
Financial Charges	-	-	-	-	-	-	-
Social benefits	-	-	-	-	-	-	-
Non-financial assets acquisition	5,991,263	-	5,991,263	5,911,412	99%	79,851	1%
Financial Assets	-	-	-	-	-	-	-
Loan Repayments	-	-	-	-	-	-	-
Other payments	1,436,072	(936,072)	500,000	473,974	95%	26,026	5%
TOTAL PAYMENTS	24,074,695	(266,804)	23,807,891	22,106,373	93%	1,701,518	7%
Increase/(Decrease in Cash)	-	-	-	988,755			

The composition of budget adjustments and explanations of major variances are provided in note 23

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2021

		2021	2020
		Kwacha	Kwacha
RECEIPTS	Note		
Funding	7(a)	8,948,144	9,142,835
TOTAL RECEIPTS		8,948,144	9,142,835
PAYMENTS			
Operational Expenditure Payments:			
Salaries and Wages	7(b)	6,095,926	6,412,143
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		382,447	312,315
Goods and Services		-	-
Administrative Costs		512,400	387,655
Other Costs		-	-
Sub-Total		6,990,773	7,112,113
Capital Expenditure Payments:			
Infrastructre Development	7(c)	2,064,220	1,082,396
Rehabilitation Works		-	-
Asset Acquisition		-	-
Other Costs		-	-
Sub-Total		2,064,220	1,082,396
TOTAL PAYMENTS		9,054,994	8,194,509
Increase/(decrease) in cash		- 106,850	948,326
Cash at the beginning of the year		944,039	- 4,287
Cash at the end of the year		837,190	944,039

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE
CONSTITUENCY DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST
DECEMBER, 2021**

		2021	2020
RECEIPTS		Kwacha	Kwacha
Funding	8(a)	1,600,000	1,600,000
Other sources	8(b)	16,181	7,866
TOTAL RECEIPTS		1,616,181	1,607,866
PAYMENTS			
Infrastructure Development	8(c)	1,266,175	104,602
Rehabilitation Works	8(d)	-	58,910
Asset Acquisition	8(e)	-	-
Administrative Costs	8(f)	18,625	12,053
TOTAL PAYMENTS		1,284,800	175,565
Increase/(decrease) in Cash		331,381	1,432,301
Cash at beginning of the year	22	1,607,616	175,315
Cash at the end of the year	22	1,938,996	1,607,616

Note 8 explains the composition and other details relating to the various elements included in this Statement

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2020 up to 2021.
- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSASs".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2020. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lufwanyama Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2020, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue onby the ordinary/special council meeting.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 authorizes Lufwanyama Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69(1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.
- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

a. Fees or Charges

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.7 Cash at the Beginning and End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions. The Council did not borrow during the period under review.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

(i) Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(ii) Investments in Other Entities

The Council disclosed the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

(iii) Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and may of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

(iv) Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity that is subject to common with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council.
- (b) Association being entities over which the Council has significant influence.
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close member of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are;

- (a) The Council Chairperson, elected Councilors, Co-opted members of the Audit and Procurement Committees, Chiefs who are part of the Council representing other Chiefs in the District, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority. The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

(v) External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purpose for which assistance will be utilized. Lufwanyama Town Council disclose total external assistance received in cash during the period, total external assistance paid by the agencies from the benefit of the Council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

(vi) Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lufwanyama Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2021	2020
	Kwacha	Kwacha
Residential	3,950	5,513
Industrial/Commercial	13,430	25,413
Mining/Plant	7,107,504	5,422,904
Personal Levy	37,313	64,468
TOTAL	7,162,197	5,518,298

The Council relied on the Valuation Roll updated for the period 2016 – 2021 to determine the property rates receivable.

3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

	2021	2020
	Kwacha	Kwacha
Feea and Charges	945,437	1,240,081
Land Development Charge	2,274,128	2,452,165
TOTAL	3,219,565	3,692,246

NOTES TO FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2021	2020
	Kwacha	Kwacha
Consent fees	112,000	-
Survey fees	-	83,978
Rentals/lease of Council's properties	-	16,200
Application forms fees	-	479,711
Rentals from houses	140,805	120,294
Sketch plan	-	-
Search fees	-	-
Hire of halls	-	2,100
Hire of grounds/stadia	-	-
Hoarding fees (Barricading)	-	-
Refuse	720	750
Registration of Clubs & societies	1,200	-
Farm produce levy	320,399	183,361
Flower vendor levy	-	-
Car dealer levy	-	-
Communication mast levy	150,000	135,000
Lease of Council Transport/Equipmen	107,500	-
Illegal Parking of vehicles	-	-
Billboards and banners	-	-
Penalties	-	-
Other fees and charges	112,813	218,687
	<u>945,437</u>	<u>1,240,081</u>

NOTES TO FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges

	Kwacha	Kwacha
Premium Plot- Residential	537,789	1,000,000
Premium Plot – Commerci	516,700	325,000
Other charges	1,219,639	1,127,165
TOTAL	2,274,128	2,452,165

4. Licences

A total of **K156, 431.00** cash receipts was raised from issuance of various licences.

Licence Type	2021	2020
	Kwacha	Kwacha
Manufacturers Licence	-	-
Stall licence	-	-
Liquor licence	5,077	310
Firearm and ammunition licence	2,700	-
Petroleum licence	148,654	142,300
Restaurant licence	-	-
Dog licence	-	500
Other Licences	-	-
TOTAL	156,431	143,110

NOTES TO FINANCIAL STATEMENTS

5. Levies

The Council generated a total of **K520, 623** cash receipts by charging levies as follows:

Type of Levy	2021	2020
	Kwacha	Kwacha
Livestock levy	34,449	28,749
Birds levy	-	-
Fish levy	270	11,377
Pole levy	-	-
Charcoal levy	179,353	197,751
Sand levy	-	-
Grave reservation levy	-	-
Timber Levy	297,101	298,525
Other levies	9,450	8,660
TOTAL	520,623	545,062

6. Permits

The Council generated a total of **K162,129** cash receipts from issuing various permits as follows:

Type of Permit	2021	2020
	Kwacha	Kwacha
Health permits	31,982	46,565
Permit for Opaque beer	-	-
Fire certificate	82,265	118,690
Business permits	47,882	55,461
Public permits (social gatherings, etc.)	-	-
Other permits	-	-
TOTAL	162,129	220,716

NOTES TO FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a Funding

	2021	2020
	Kwacha	Kwacha
1st Funding	765,523	765,523
2nd Funding	744,724	765,523
3rd Funding	723,496	741,304
4th Funding	758,496	765,523
5th Funding	763,496	765,523
6th Funding	763,496	765,523
7th Funding	709,550	746,304
8th Funding	714,355	765,523
9th Funding	718,572	765,523
10th Funding	763,096	765,523
11th Funding	761,670	765,523
12th Funding	761,670	765,523
TOTAL	8,948,144	9,142,835

b. Operational Expenditure

The Council applied amounts totalling K6,990,773 of LGEF receipts towards meeting operational expenses on Salaries and Wages and goods and services representing 78% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments on notes 7b.

NOTES TO FINANCIAL STATEMENTS

(i) SALARIES AND WAGES

Grade	2021	2020
	Kwacha	Kwacha
Salaries Div. I	1,781,842	1,979,465
Salaries Div II	1,570,619	1,330,192
Salaries Div III	1,288,736	1,348,298
Wages - Division IV	1,455,729	1,754,187
TOTAL	6,096,926	6,412,143

(ii) SERVICE PROVISION

	Kwacha	Kwacha
Boreholes, Pumps & Reticulation	35,632	-
Waste & Refuse collection	44,396	-
Protective clothing	114,955	-
Fuel/Lubricants	187,465	-
TOTAL	382,447	-

(iii) GOODS AND SERVICES

DETAIL	2021	2020
	Kwacha	Kwacha
Office Materials	-	
Internet Charges		
Data Processing		
Servicing (Other Cosumables		
Land Demarcation and Survey		312,315
TOTAL	-	312,315

NOTES TO FINANCIAL STATEMENTS

(iv) ADMINISTRATIVE EXPENSES

DETAIL	2021	2020
	Kwacha	Kwacha
Meal Allowances		13,560
Allowances		349,000
Bank charges		25,095
Boards, Councils	512,400	
TOTAL	512,400	387,655

c. Capital Expenditure

The Council applied amounts totalling K2, 064,220 of LGEF receipts towards meeting capital expenditure representing 23% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments note 7c. The expenditure exceeded 20% because of balances brought forward from 2020

(a) INFRASTRUCTURE

DETAIL	2021	2020
	Kwacha	Kwacha
Hospitals, Clinics	87,373	-
Bridges and Culverts	-	103,989
Buildings	1,429,561	765,869
Schools	498,574	10,140
Market Facilities	48,713	202,398
TOTAL	2,064,220	1,082,396

NOTES TO FINANCIAL STATEMENTS

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

(a) CDF Funding

	2021	2020
Constituency	Kwacha	Kwacha
Lufwanyama	1,600,000	1,600,000
Total Funding	1,600,000	1,600,000

(b) Other CDF sources of funding

	2021	2020
Constituency	Kwacha	Kwacha
Lufwanyama		
Interest Earned	16,181	7,866
Total Funding	16,181	7,866

(c) CDF Infrastructure Development

	2021	2020
	Kwacha	Kwacha
Cycle maintenance-Regravelling ,Resealing &	71,260	-
Schools	689,298	42,630
Buildings	22,698	47,929
Hospitals, Clinics and Health Centres	210,127	14,043
Boreholes and Water Reticulation	272,792	
	1,266,175	104,602

Infrastructure development works included construction of Classroom blocks; Mother's shelters at Rural health Centres and drilling of boreholes.

NOTES TO FINANCIAL STATEMENTS

(d) CDF Rehabilitation Works

	2021 Kwacha	2020 Kwacha
Building Maintenance	-	58,910
Total Funding	-	58,910

(e) CDF Asset acquisition

No assets were acquired from CDF funds during the year under review.

(f) CDF administrative costs

	2021 Kwacha	2020 Kwacha
Petrol, Oil and Lubricants	12,065	4,318
Meal Allowance	4,800	1,200
Other Costs	-	1,600
Bank Charges	1,760	2,535
Other Services	-	-
Allowances	-	2,400
Imprest	-	-
Total Other Costs	18,625	12,053

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2021 Kwacha	2020 Kwacha
Grants from other sources	197,640.00	-
Grant in lieu of rates	890,000.00	450,000
Other grants	-	-
TOTAL	1,087,640.00	450,000

10. Borrowings

During the year the Council did not contract any loan.

NOTES TO FINANCIAL STATEMENTS

11. Council Commercial Venture

The Council had no commercial venture.

12. Other Receipts

The Council received amounts totaling K238 399.00 in its various bank accounts as Interest earned.

	2021	2020
	Kwacha	Kwacha
Interest Received		149082
Interest on Received-Dist Fund	45,014	
Interest on Received-Service Charge Acc	29,065	
Interest on Received-Fire Services	146,697	
Interest on Received-Revolving Fund	1,442	
Interest on Received-CDF Fund	16,181	
Donations	-	
Profit from council ventures	-	-
	<u>238,399</u>	<u>149,082</u>

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Town Council. The Council had categories of staff that were paid as follows

Grade	2021	2020
	Kwacha	Kwacha
Salaries Div. I	2,649,307	2,057,085
Salaries Div II	1,787,255	1,335,878
Salaries Div III	2,163,137	1,393,869
Wages - Division IV	1,913,938	1,819,924
	-	-
TOTAL	<u>8,513,637</u>	<u>6,606,756</u>

14. Use of Goods and Service

General expenditure consists of expenditure incurred on administrative activities

Goods and Services	2021	2020
Expenditure Type	Kwacha	Kwacha
Office Costs	474,249	428,452
Buildings, Repair and Maintenance Costs	190,350	247,031
Plant, Machinery and Vehicle Running Costs	1,092,587	915,056
Other Administrative Cost	1,804,564	1,051,942
Requisites	172,537	191,206
Services	2,575,623	1,665,454
Travel Expenses	850,619	769,713
Training	35,515	84,619
Medical Charges	11,306	11,070
TOTAL	7,207,350	5,364,543

15. Financial Charges

The Council paid nothing in financial charges.

16. Social Benefits

Social benefits were not incurred during the year.

NOTES TO FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2021	2020
	Kwacha	Kwacha
Market Shelters	97,362	
Boreholes, Pumps, & Water R	383,502	
Schools	1,187,872	54,485
Buildings	1,519,682	820,537
Hospitals, Clinics and Health Centres	297,499	14,043
Grader	-	2,204,541
TLB	1,312,397	
Lawn Mower	12,285	
Computers, Peripherals, Equipment	222,650	33,610
Motor Vehicles <= 3500kg	733,055	-
office Furniture	136,110	
Other Office Equipment-Tv	8,998	17,500
TOTAL	<u>5,911,412</u>	<u>3,144,716</u>

18. Financial Asset

There were no Acquisition of financial assets during the years under review.

19. Loan Repayments

There were no loan repayments because Council had no loan obligation

NOTES TO FINANCIAL STATEMENTS

20. Other Payments

These relate to sundry items such as Staff creditors and Trade Creditors.

Details	2021	2020
	Kwacha	Kwacha
ZULAWU	-	-
ZCTU	-	-
Others	-	16,064
Suppliers of goods and services	19,065	-
Zambia Revenue Authority	-	-
National Pension Scheme Authority	24,350	146,721
Local Authorities Superannuation Fund	34,461	57,639
Terminal Benefits	353,090	645,070
Long Service Bonus	-	17,616
Leave Travel Benefits	43,008	22,102
	<u>473,974</u>	<u>905,212</u>

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2021	2020
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	6,708,995	5,720,240
Cash equivalents	-	-
TOTAL	<u>6,708,995</u>	<u>5,720,240</u>

a. Cash on hand

The Council had no cash at hand

NOTES TO FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2021:

Account	Bank	2021 Kwacha	2020 Kwacha
District Fund Account	Zanaco -011093200158	288,001	1,874,624
Capital Account	Invetrust-0110288211010	837,190	944,039
Rural Water Account	Zanaco-1548892300155	66,762	-
Project Account	Zanaco-1325062300181	752,051	30,146
Service Charge Account	Natsave-3170124339501	7,846	17,625
Fire Services Account	Natsave -3171742525402	2,072,324	1,177,041
Loan Revolving Fund Account	Natsave -3171744225401	54,764	31,845
Rentals & Water Acc	Natsave - 3170124076101	46,709	335
SOMAP Shop Account	Natsave - 3170140852601	482	870
Ward Development Fund Account	Natsave - 3171257386901	643,872	36,100
CDF Account	Natsave-3170141448601	1,938,996	1,607,616
		6,708,995	5,720,240

c. Cash Equivalents

The Council did not hold treasury bills at the end of the year.

23. Budget Adjustments and Variances

a. Budget Adjustments

There were budget adjustments on fees & charges, other grants, use of goods and services, and other payments during the year under review

b. Budget Variances

There were budget variations in the period under review as explained below:

• Fees and Charges

The Council planned to generate **K4,848,482** from Fees and Charges but collected **K3, 219,565** resulting in a variance of (34%). The under collection efficiency was attributed to non-payments of Conveyance fees and other Charges. Customers cited Covid 19 as the reason for failure to pay the Council 100%.

• Other Grants

The Council had planned to receive K842, 750 in respect of Grant in lieu of rates, however during the year the Ministry of Local Government released **K890, 000** in Grant in lieu of Rates and K197, 640 towards Community Led Total sanitation Programme representing 129%.

NOTES TO FINANCIAL STATEMENTS

- **Other receipts:**

During the year under review, the Council planned to collect **K5,095** but collected K238,399 giving a variance of (K233, 304.00) represented as -4579%. This was interest earned on various Council Accounts and the big portion came from Fire Services Account where K3, 000,000.00 locally generated revenue was placed into fixed deposit account while waiting to exhaust tender procedures for procurement of the TLB and Motor Vehicle.

- **Use of Goods and services**

The Council planned to spend **K8 989 467.00** on procurement of goods and services but spent **K7, 207,350** resulting in a variance of 20%.

- **Other Payments**

The Council planned to spend K500 000.00 on other payments (Liquidation of Staff obligations, Creditors and Statutory obligations) but spent K473, 974 resulting in a variance of 5%.

NOTES TO FINANCIAL STATEMENTS

24 Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

	2021	2020
	Kwacha	Kwacha
Valuation of Properties	61,000	-
Fire Prevention	5,200	-
Grading of Feeder Roads	479,079	96,918
Refuse Collection	66,916	131,215
Rehabilitation/Drilling of Boreholes	383,561	-
Market Facilities	74,665	332,949
Construction of Bridges and Culverts	-	103 989.00
Land demarcation and survey	319,130	569,583
Bush Clearing	159,215	58,791
Maintenance o Council Buildings	142,484	159,662
Pool Transport	1,033,854	638,347
	<u>2,725,104</u>	<u>1,987,465</u>

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

25 Property, Plant and Equipment

The Council had property, plant and Equipment valued at **K16, 834,198**

	Land and Buildings Kwacha	Motor vehicles Kwacha	Plant & Machinery Kwacha	Equipment & Furniture Kwacha	TOTAL Kwacha
Opening balance	7,589,546	2,510,624	2,422,441	135,410	12,658,021
Additions	1,750,682	733,055	1,324,682	367,758	4,176,177
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	<u>9,340,228</u>	<u>3,243,679</u>	<u>3,747,123</u>	<u>503,168</u>	<u>16,834,198</u>

26. Investments in Other Entities

The Local Authority did not hold shares in any Company

NOTES TO FINANCIAL STATEMENTS

27. Administered Transactions

The Local Authority does not administer tax collection on behalf of Zambia Revenue Authority.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Lufwanyama Town Local Authority

a. Fringe Benefits Disclosures

The Council Chairperson was provided with a personal-to-holder car, an office and personal Secretary

b. Remuneration of the Councillors

The aggregate remuneration of members of the Local Authority and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lufwanyama Town Local Authority are:

Aggregate Remuneration	K 864,000
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Number of persons	23
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None of the Councillors acquired loans from the Local Authority during the period under Review nor had any outstanding loans

c. Remuneration of Senior Management

The aggregate remuneration of members of Senior Management and the number of individuals determined on a full-time equivalent basis receiving remunerations from the Local Authority are:

Aggregate Remuneration	K2,643,272
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Number of persons	17
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29. External Assistance

During the period under review the Local Authority did not receive any external assistance.

30. Third Party Payments

Lufwanyama Town Council during the period under review did not engage in any party's transactions

APPENDICES

APPENDIX A - LIST OF PAYABLES

**LUFWANYAMA TOWN COUNCIL
 SUMMARY FOR CREDITORS LEDGERS AS AT 31 DECEMBER 2021**

INSTITUTION	OPENING BALANCE	OBLIGATION	PAYMENTS	CLOSING BALANCE
RA	3,358,344.66	1,271,006.74	471,628.00	4,157,723.40
APSA- PRINCIPAL	378,617.28	700,617.22	700,617.22	378,617.28
APSA PENALTIES	9,190,929.35			9,190,929.35
TOTAL	12,927,891.29	1,971,623.96	1,172,245.22	13,727,270.03

LUFWANYAMA TOWN COUNCIL
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2021

		MOTOR VEHICLES <= 3500 kg				
11/08/2021		Toyota Zambia-Procurent of M/Vehicle	Motor Vehicles <= 3500kg	Purchase of Vehicle	20	733,054.63
				SUB TOTAL		733,054.63
		OFFICE FURNITURE				
01/12/2021	12291/92	Hud Tech solutions	Office Furniture	Conference Chairs -Chamber	20	35,100.00
24/06/2021		HUD TECH Solutions-Office Furniture	Office Furniture	Office Furniture	20	29,250.00
24/06/2021		K Line Investments-Office Furniture	Office Furniture	Office Furniture	20	9,960.00
				Carpet for Council Chairman office		
19/08/2021		Chongo Chongo	Office Furniture		20	2,400.00
20/08/2021		Green Earth Logistics	Office Furniture	Filling Cabinets	20	16,000.00
01/02/2021		Heng Li	Office Furniture	Office Furniture-CS	20	39,500.00
09/02/2021		Heng Li	Office Furniture	Furniture CS	20	2,500.00
10/02/2021		Heng Li	Office Furniture	Furniture CS	20	1,400.00
				SUB TOTAL		136,110.00
			Refrigerator, TV, VCR, Cameras, Air Conditioners etc			
05/11/2021		Game Stores		TV set for reception office	20	8,998.00
				SUB TOTAL		8,998.00
			NON FINANCIAL ASSETS			2,425,494.43

LUFWANYAMA TOWN COUNCIL
SUMMARY FOR DEBTORS LEDGERS AS AT 31ST DECEMBER 2021

[illegible]

Conveyance Fees		546,500.00	546,500.00	230,000.00	316,500.00	75,000.00	241,500.00	-		241,500.00
Total		546,500.00	546,500.00	230,000.00	316,500.00	75,000.00	241,500.00	-		241,500.00
Grand Total	222,300.00	2,074,998.91	2,125,298.91	680,616.59	1,444,682.32	775,770.25	668,912.07	81,090.00		587,822.07

LUFWANYAMA TOWN COUNCIL

OUTSTANDING STAFF SALARY ADVANCES AS AT 31 DECEMBER 2021

	NAME	BALANCE
1	VINCENT LUNGU	6,000.00
2	EMMANUEL LUKUWA	1,000.00
3	FIDELLIS KAPANDULA	833.34
4	TERRY SIYUMBANO	666.66
5	GEOFFREY MULOWA	2,100.00
6	CHIBEZA GOMA	1,500.00
7	PAUL CHITEME	6,000.00
8	MARTHA PHIRI	1,000.00
9	MABLE MUSONDA	3,000.00
10	CHARLES BANDA	2,000.00
11	MUKOSHA MUSONDA	6,000.00
12	TEDDY MAYANI	2,000.00
13	CHONGO CHIPALO	3,000.00
14	DANIEL MWAPE	2,000.00
15	ANOLD KAMALONDO	833.33
16	ABRAHAM CHIFULO	3,000.00
17	PHILLIP MUSONDA	6,000.00
18	ASAN MUCHELE	10,000.00
19	TAMMY MWALE	6,000.00
20	JANE CHOMBA	2,500.00
21	SARAH TEMBO	583.35
22	GABRIEL NKHOMA	1,800.00
23	EVANS MAMBWE	1,000.00
24	MUKUKA MULENGA	4,000.00
25	CHIBOKO BRIGHT	3,000.00
26	MWENDALUBI PHIRI	4,000.00
	Totals	79,816.68

LUFWANYAMA TOWN COUNCIL

OUTSTANDING STAFF SALARY ADVANCES AS AT 31 DECEMBER 2021

1	CYNTHIA SITOLONGO	4,583.31
2	EMMANUEL LUKUWA	4,583.31
3	MARTHA PHIRI	5,499.98
4	SAMU MWALILU	5,499.98
5	AGNESS MITI	6,875.00
6	JANE CHOMBA	8,250.00
7	JOYCE KAPALU	8,250.00
8	ALBERT BWALYA	1,375.03
9	MUSONDA NKANDU	4,583.31

LUFWANYAMA TOWN COUNCIL
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2021

10	MOSES CHISHIMBA		6,600.01
11	DERRICK SHINGOMA		10,083.33
12	MISHECK LUWAWA		10,083.34
13	ANOLD KAMALONDO		10,083.34
14	SUNDAY MUSHOTA		12,375.00
15	GEOFFREY MULOWA		4,125.00
16	MARLLEH MISEPO		6,875.00
17	PAUL CHITEME		8,250.00
18	PHILLIP MUSONDA		12,375.00
19	ROSEMARY MWEENE		13,750.00
20	GEOFFREY NYAMBE		13,750.00
21	ZALIWE SAKALA		1,375.00
22	VINCENT LUNGU		5,041.69
23	KAFWANA KYEMBE		8,249.99
	TOTALS		172,516.62